

complaint

Mr and Mrs G complain that Zurich Insurance PLC has recorded two claims for theft under their contents insurance policy. They feel it should be recorded as one claim and want one of the excesses to be refunded.

background

Mr and Mrs G raised a theft claim via their broker in February 2012. They said their employee had taken a piece of jewellery from their home. Mrs G had placed the item in a specific location the previous weekend and when she went back to collect it, it had gone. They said their employee was the only person to have access to the house during that time. The theft was also reported to the police.

Later the same day Mr and Mrs G reported further thefts to Zurich. They said five additional items of jewellery had also been taken from their home. But they didn't know when these items had been taken, although the first was as early as November 2011. This is because they'd notice one item missing in November 2011, but had assumed at the time that they had just misplaced it. They now realised it must have also been stolen by their employee, along with the other items.

Zurich recorded two theft claims against Mr and Mrs G's contents insurance policy. It therefore applied an excess to each claim. It said this was because there were at least two different instances of theft – one in November 2011 and another in February 2012. Mr and Mrs G say this is unfair and Zurich should've only recorded one claim for theft. This is because they believe all the items were taken by the same person - their employee.

Our investigator didn't think Zurich had done anything wrong. He considered that Zurich could've been entitled to record six separate theft claims but had been fair in treating it as only two. He said this is because there was nothing to suggest that all six items had been taken at the same time.

Mr and Mrs G didn't agree. In summary they said:

- The proximate cause of the loss is undisputed as theft by their employee.
- Our service's Technical Helpdesk had advised their broker that we'd generally take the view that Zurich should treat this as one claim.

The complaint has been passed to me for a final decision.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. Having done so, I've come to the same outcome as the investigator, and for broadly the same reasons.

I acknowledge that our Technical Helpdesk gave some advice to Mr and Mrs G's broker about our general approach to theft cases. But it didn't give a specific or conclusive finding on this particular case, nor did it have all the evidence and arguments from both parties. Its function is to give complaints handlers at financial businesses a general overview of our approach to specific issues. As such, the comments given to the broker don't impact the outcome I've reached in this individual case.

Even though Mr and Mrs G say the same person took all of the items, this doesn't mean Zurich should treat it as one theft claim. This is because it appears the losses occurred at different times – it wasn't one instance of theft, but at least two separate instances.

Mr and Mrs G haven't been able to give any specific dates for when most of the jewellery is likely to have been taken. Although they accept that at least one item went missing as early as November 2011. Likewise, they've been able to say that another piece of jewellery went missing in February 2012. So clearly they have had at least two separate instances of theft from their home – albeit by the same person. For this reason, I think its fair for Zurich to have recorded two claims and applied an excess to each claim.

Zurich could've quite reasonably treated these as six separate claims, and applied an excess to each one. This is because it's possible that all the items of jewellery were taken at different times. But as Zurich couldn't be sure, it decided to treat it as two claims only. And I think that's fair in the circumstances.

my final decision

For the reasons explained above, I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs G to accept or reject my decision before 24 July 2017.

Tero Hiltunen
ombudsman